

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS, LLC, *et al.*,
RESPONDENTS.

**COMPLAINANT TPG PRESSURE INC.'S RESPONSE TO RESPONDENT
OMNI LOGISTICS, LLC'S AND RESPONDENT EPIC FREIGHT
SOLUTIONS LLC'S JOINT PROPOSED FINDINGS OF FACT**

Complainant TPG Pressure Inc. (“**TPG**”) submits the following responses to Respondent’s Omni Logistics, LLC’S (“**Omni**”) and Respondent Epic Freight Solutions LLC’S (“**Epic**”) (collectively, “Respondents”), joint proposed findings of fact with corresponding citations to evidence in the record.

Any allegations not specifically admitted are denied.

A. Epic's Services to TPG

1. Epic arranged for ocean transportation services, drayage, domestic motor carrier services, and customs clearance services for Complainant TPG Pressure, Inc. from about 2015 through the summer of 2022. (Deposition of Yohanse Manzanarez for Epic ("Manzanarez Tr.") 44:8-10, CApp010220.)

RESPONSE: Admitted that Epic arranged for ocean transportation services, drayage, domestic motor carrier services, and customs clearance services for Complainant TPG Pressure, Inc. from "about 2015" until December 11, 2020, which is the date that TPG began receiving invoices requesting that payment be remitted to Omni Logistics, LLC (CApp000001, Invoice 1489082, dated December 11, 2020).

2. Epic paid third-party service providers—including NVOCCs, VOCCs, customs house brokers, motor carriers, and railroads—out of pocket for the transportation of TPG's freight from abroad—generally, Colombia or Turkey—to a port within the United States (or Canada) and, ultimately, a final destination in the United States at TPG's customers' job sites. (Deposition of David Ikemoto for Epic ("Ikemoto Tr.") at 120:6-11, CApp010319.)

RESPONSE: Admitted that both Epic and later Omni paid third-party service providers; TPG denies any implication that *only* Epic (and not Omni) paid third party providers. According to contemporaneous emails, Omni was making payments as well. (Email from Quinones to Ikemoto, dated April 1, 2022, CApp10689-90.)

3. Epic (and later Omni on Epic's behalf), in turn, invoiced TPG for those transportation costs. (Manzanarez Tr. at 104:4-25, CApp010235.)

RESPONSE: Admitted only that Epic “invoiced TPG for those transportation costs” until March 21, 2022. On that date, Omni began invoicing TPG itself. (CAApp001098, Invoice number 7204719 00 from Omni Logistics LLC to TPG, dated March 21, 2021.)

4. In most cases, Respondents did not upcharge TPG for the costs of ocean freight. (Ikemoto Tr. at 135:23-25 – 136:1-18, CAApp010323.)

RESPONSE: Admitted that both Respondents issued and determined charges to TPG. The remainder is an unverifiable assertion; Respondents have not produced any documentary evidence to substantiate this allegation. In any event, this allegation is irrelevant to the causes of action in this case.

5. For many shipments, Respondents only made a profit on destination drayage services. (*Id.* at 136:4-9, CAApp010323.)

RESPONSE: Admitted that Respondents both profited from and had business with TPG. The remainder is an unverifiable assertion; Respondents have not produced any documentary evidence to substantiate this allegation. In any event, this allegation is irrelevant to the causes of action in this case.

6. In fact, in some cases, with respect to certain shipments, Respondents provided services to TPG at a loss. (*Id.* at 136:4-9, CAApp010323; *Id.* at 60:13-14, CAApp010304; Manzanarez Tr. at 56:7-18, CAApp010223.)

RESPONSE: Admitted that Respondents both profited from and had business with TPG. The remainder is an unverifiable assertion; Respondents have not produced any documentary evidence

to substantiate this allegation. In any event, this allegation is irrelevant to the causes of action in this case.

7. Respondents received invoices for ocean freight from their international agents and paid those invoices on TPG's behalf. (Ikemoto Tr. at 135:9-14, CApp010323.)

RESPONSE: Admitted.

8. Indeed, Respondents contracted with those international agents and prepaid such agents for ocean freight on TPG's behalf, thereby providing a substantial commercial benefit to TPG. (*Id.* at 135:4-5, CApp010323.)

RESPONSE: TPG admits both Respondents contracted with international agents. TPG disputes the characterization of the Respondents' prepayment for ocean freight as a "substantial commercial benefit" to TPG.

9. Throughout the entirety of TPG's relationship with Respondents, all shipments arrived at their final destinations. (Deposition of Beza Basiri on September 14 ("Basiri Tr. (Sep. 14") at 55:3-7, CApp010397.)

RESPONSE: Admitted.

B. Epic is the Entity that Provided Services to TPG

10. Following Omni's acquisition of Epic in April of 2021, the business operations of Omni and Epic remained not fully integrated until April 2023, (Manzanarez Tr. at 13:18-23, CApp010212.)

RESPONSE: Denied in part. Omni replaced Epic in its dealings with TPG in December 2021 at the latest, which suggests the integration of business operations with respect to TPG was complete or nearly complete by then (CApp 010169). Certain key employees of Epic who were main points of contact with TPG were employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Respondent has not provided any documentary evidence in support of the allegation about the date of full integration of the entire business operations, which is in any event irrelevant.

11. As part of the acquisition terms between Omni and Epic, Epic had to “operate as an entity without additional resources [from Omni]” until Epic satisfied certain financial criteria. (*Id.* at 35:3-6, CApp010218.)

RESPONSE: Denied to the extent the statement is ambiguous as to whether Epic did in fact operate without additional resources from Omni vis-à-vis TPG and from what point in time Omni commenced providing additional resources to Epic. By the Respondents’ own admission Omni provided “back-office services” on behalf of Epic. (Respondents’ Responses to TPG’s Interrogatory No. 15 (CApp010912). TPG began receiving invoices requesting that payment be remitted to Omni Logistics, LLC by December 11, 2020. (CApp000001, Invoice 1489082, dated December 11, 2020.) Accordingly, Epic could not have been operating “without any additional resources [from Omni]” from at least that date.

12. Between the acquisition and the full integration of the two business operations, Epic was still “operating as Epic to a lot of its customers and clients.” (Ikemoto Tr. at 12:24-25, CApp010292.)

RESPONSE: Denied as to TPG; with respect to TPG, which is the relationship at issue in this case, Omni became involved at least as of December 11, 2020. (CApp000001, Invoice 1489082, dated December 11, 2020.) By at least June 16, 2021, Epic’s emails contained a footer noting Epic was partnering with Omni “[a]s a wholly owned subsidiary.” (Email from Manzanarez to Basiri, dated June 16, 2021, CApp011017.) Omni replaced Epic in communications with TPG and issue quotes for services on December 6, 2021 at the latest. (Email from Ikemoto, Omni Logistics Director of Internationals Operations to Basiri of TPG, CApp 010169). Omni began using its own email in communications with carriers and terminals for TPG business starting at least February 8, 2022. (Email re demurrage credit card pre-approval from Maher Terminals to Brenda Quinones at bquinones@omnilogistics.com, CApp000762.)

13. For example, not until the two entities were fully integrated did Epic receive “access to [Omni’s] . . . operating systems.” (*Id.* at 12:17-22, CApp010292.)

RESPONSE: Denied; TPG began receiving invoices requesting that payment be remitted to Omni Logistics, LLC by December 11, 2020. (CApp000001, Invoice 1489082, dated December 11, 2020.) Accordingly, Epic must have had some access to Omni systems. As of December 6, 2021 at the latest, Epic representatives began communicating with TPG and issue quotes for services from the Omni email accounts. (CApp 010169).

14. Until Epic's business operations were fully integrated with Omni, there were no changes at Epic to the decision-making hierarchy within Epic. (Manzanarez Tr. at 36:9-11, CApp010218.)

RESPONSE: Denied; at a minimum, key employees of Epic were employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni’s Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel.

15. Until April 2023, “[Epic’s] structure internally and [its] responsibilities” did not change; “everything was business as usual, and [Epic] still continued to operate as Epic.” (*Id.* at 36:14-19, CApp010218.)

RESPONSE: Denied; at a minimum, key employees of Epic were employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni’s Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel.

16. Until April 2023, Epic and Omni maintained separate profit and loss statements. (Ikemoto Tr. at 18:12-14, CApp010294.)

RESPONSE: Denied; Respondents admit at Respondent’s Proposed Finding of Fact No. 5 that both Respondents profited from business with TPG. This allegation is an unverifiable assertion;

Respondents have not produced any documentary evidence to substantiate this allegation. In any event, this allegation is irrelevant to the causes of action in this case.

17. After the acquisition through the summer of 2022, Omni was not involved in Epic's business dealings with TPG, except to perform back-office services, including the issuance of invoices for Epic's services on behalf of Epic. (Respondents' Responses to TPG's Interrogatory No. 15, CApp010912-14.)

RESPONSE: Denied as to TPG; with respect to TPG, which is the relationship at issue in this case, Omni became involved at least as of December 11, 2020. (CApp000001, Invoice 1489082, dated December 11, 2020.) By at least June 16, 2021, Epic's emails contained a footer noting Epic was partnering with Omni "[a]s a wholly owned subsidiary." (Email from Manzanarez to Basiri, dated June 16, 2021, CApp011017.) Omni replaced Epic in communications with TPG and issue quotes for services on December 6, 2021 at the latest. (Email from D. Ikemoto, Omni Logistics Director of International Operations to B. Basiri of TPG, CApp 010169). Omni began using its own email in communications with carriers and terminals for TPG business starting at the latest February 8, 2022. (Email re demurrage credit card pre-approval from Maher Terminals to Brenda Quinones at bquinones@omnilogistics.com, CApp000762.)

C. TPG's Shipments with Epic were Subject to Epic's Tariff as well as Epic's Terms and Conditions

18. To procure transportation services from Epic, TPG would generally inquire about a rate for transportation from point A to point B. (*See, e.g.*, CApp10122-200.)

RESPONSE: Admitted.

19. Epic would then respond with a written quote via email. (*See, e.g.,* CApp010186.)

RESPONSE: Admitted.

20. Epic's quotes invariably provided that "[a]ll shipments are subject to Epic Freight's Terms and Conditions." (*See, e.g., id.*)

RESPONSE: Admitted only that Respondents' quotes often provided that "[a]ll shipments are subject to Epic Freight's Terms and Conditions." When asked if stating "subject to Epic's rates terms and conditions" is a normal practice for Epic, Mr. Manzanarez admitted in deposition that "there might've been variations ..." (Manzanarez Dep. 111:1-9, CApp010237.)

21. Epic's Terms and Conditions provided that "customer shall . . . be jointly and severally liable to [Epic] for payment of all freight, demurrage, detention and charges[.]" (Basiri Tr. (Sep. 14), Ex. 91, Section 12(E) (Rapp356).)

RESPONSE: Admitted only that Epic's Terms and Conditions state the quoted passage.

22. Epic's Terms and Conditions further grant Epic "a general and continuing lien . . . on any property of the customer . . . coming into Epic's actual or constructive possession . . . as to any unpaid charges[.] (*Id.* at Section 13(a) (Rapp356).)

RESPONSE: Admitted only that Epic's Terms and Conditions state the quoted passage.

23. TPG had no reason to believe that Epic's Terms and Conditions did not apply to its shipments. (Basiri Tr. (Sep. 14) at 44:15-18, CApp010394; Manzanarez Tr. 111:24-25 – 112:1-2 (CApp010237) (discussing that subjecting TPG's shipments to Epic's terms and conditions "was still the standard practice throughout the shipments that are at issue here-").)

RESPONSE: Denied. In the quoted passage from Mr. Basiri's deposition, Mr. Basiri states only that he "[doesn't] remember having any discussions ... with Epic" about the applicability of Epic's terms and conditions. (Basiri Dep. (Sep. 14) at 44:15-18, CApp010394.) The Manzanarez text is similarly taken out of context. In fact, when asked if stating "subject to Epic's rates terms and conditions" is a normal practice for Epic, Mr. Manzanarez admitted in deposition that "there might've been variations ..." (Manzanarez Dep. 111:1-9, CApp010237.) Basiri's deposition similarly acknowledged variations. (Basiri Dep. (Sept. 14) 48:22-25, 49:1-8, CApp010395.) Further, TPG believed it would be doing business with Omni going forward. (Basiri Dep. (Sept. 14) 47:13-25, CApp010395.)

24. Epic's Tariff provides that "all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges[.]" (Epic Freight Solutions LLC FMC Tariff No. 001, CApp010749-893, ("Epic's Tariff") at CApp010863.)

RESPONSE: Admitted only that the quoted language appears in Epic's Tariff.

25. Epic's Tariff provides that: "[Epic] does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCC), the VOCC, either directly or via the carrier, provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo." (*Id.* at CApp010861.)

RESPONSE: Admitted only that the quoted language appears in Epic's Tariff.

26. Epic's Tariff is clear that "all other expenses beyond the port or terminal area are for account of cargo." (*Id.* at CApp010786.)

RESPONSE: Admitted only that the quoted language appears in Epic’s Tariff.

27. Epic’s Tariff provides that “at shipper’s request, [Epic] will arrange for inland transportation as shipper’s agent. All associated costs will be for the account of the cargo.” (*Id.*)

RESPONSE: Admitted only that the quoted language appears in Epic’s Tariff.

28. Under Epic’s Tariff, “[Epic] shall have a lien on any and all property (and documents relating thereto) of Merchant in its actual or constructive possession, custody, or control or en route, for all claims for charges, expenses or advances incurred by Epic in connection with this shipment, or any previous shipment . . . or both[.]” (*Id.* at Capp010842-43.)

RESPONSE: Admitted that the quoted language appears in Epic’s Tariff; denied that such language is effective to create a lien beyond what is legally permissible.

D. A Global Shipping Crisis in the Wake of the COVID-19 Pandemic Causes Unprecedented Delays, Port Congestion, Driver Shortages, and Lack of Terminal Capacity, all of Which Precipitated the Rise of Detention, Demurrage, and Other Charges Assessed by Common Carriers and Marine Terminal Operators

29. Through the first 6 years of its relationship with Epic, TPG was rarely exposed to extra charges beyond the cost of freight, such as detention, demurrage, or storage in connection with its shipments with Epic. (Ikemoto Tr. At 67:2-17, Capp010306.)

RESPONSE: Denied. Also denied that the deposition testimony to which Respondents cite supports this proposed finding of fact. (Email from Basiri to Manzanarez, dated Feb 1, 2021, Capp010551.)

30. In the wake of the global COVID-19 pandemic, global supply chains were disrupted and the transportation industry was plagued with congestion, delays, lack of equipment, and lack of personnel to meet the needs of the shipping public. (Manzanarez Tr. at 58:2-11, CApp010224.)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”).) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

31. TPG’s own Project Manager, Alex Heaton, acknowledged, for example, in August 2021 that, “[d]uring this era, [shipping] delays are the norm.” (Alex Heaton Deposition (“Heaton Tr.”) at 84:12-25, 85:1-5 (Rapp28) (Mr. Heaton was “referencing the COVID-era supply chain delays,” which “were pretty well publicized” and which he conceded he had been aware of for “some time.”).)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”).) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

32. Mr. Heaton was specifically aware of rail yard congestion in the Chicago area. (*Id.* at 82:3-5.)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

33. On September 7, 2021, Epic’s Director of International Operations, David Ikemoto, advised TPG that “IL has some extreme congestion at the rails which is complicating the recovery [of TPG’s containers].” (FMC_C00009788.)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

34. Two days later, on September 9, 2021, Mr. Ikemoto reiterated that “[c]ongestion at the rail [in Chicago] is the worst we have seen in quite some time. Currently, we are waiting on the ocean line to provide the release to the rail yard on these 10 containers.” (FMC_C00010001

(Rapp300)); (*See also* Manzanarez Tr. at 97:5-6, CApp010233 (“We had 37 miles of backup of railroads in the Chicago area.”).)

RESPONSE: Admitted.

35. On September 14, 2021, Mr. Ikemoto reiterated to TPG that “[t]he congestion situation in IL is far worse than even Los Angeles. Currently we have reached out to over 40 drayage companies in the IL area and while most are backed up about 4-6 weeks, we found a carrier that can support. The earliest they can pull containers is on 9/15.” (FMC_C00009940 (Rapp289).)

RESPONSE: Admitted.

36. Mr. Heaton was also aware of “COVID-era congestion” at the Port of Houston. (Heaton Tr. at 86:9-12 (RApp29) (“Port of Houston does sound like one of the major U.S. ports that had COVID-era congestion.”).)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

37. TPG's General Manager and corporate representative, Beza Basiri, likewise recognized at the relevant times that certain demurrage charges accrued "given [then-]current conditions of the ports." (EPIC_0032673.)

RESPONSE: Denied; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating "**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**") There are no contemporaneous emails blaming the pandemic or general congestion for Respondents' failure to obtain or produce the relevant documents.

38. Even in May 2022, for example, Mr. Basiri wrote in an email to one of Respondents' representatives, "[w]e understand that congestion may affect deliveries to and from the port[.]" (EPIC_0039851 (Rapp256).)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating "**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**") There are no contemporaneous emails blaming the pandemic or general congestion for Respondents' failure to obtain or produce the relevant documents.

39. Well into calendar year 2022, the effects of the COVID-era supply chain crises were still being felt in the industry. On April 13, 2022, one of TPG's foreign vendors observed that:

[O]ne of the main problems here is that there was (and still is) a heavy trucker shortage in the USA which can lead to heavy delays in delivery. You probably know from the media that there were times in which a lot of ships had to wait in front of US ports for several days or even weeks to be unloaded and that containers accumulated in US ports due to lack of capacities, which also lead to a worldwide container shortage. Unfortunately, the carriers do not accept responsibility for any costs emerging from that, such as storage and demurrage. These costs are on account of the cargo (i.e. shipper or consignee). So, we can't expect anything from Hapag-Lloyd here, I'm afraid."

(FMC_C00012559 (Rapp320).)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating "**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**") There are no contemporaneous emails blaming the pandemic or general congestion for Respondents' failure to obtain or produce the relevant documents.

40. With respect to the Port of New York, in April and early May 2022, Respondents' customers faced long dwell times, minimal appointments for recovery and delivery of containers at the port, chassis shortages, and a surplus of empty containers stored at the ports. (EPIC_34005 (Rapp251).)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating "**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**") There are no contemporaneous emails blaming the pandemic or general congestion for Respondents' failure to obtain or produce the relevant documents.

41. At the height of congestion at the Port of New York, dwell times were often as long as 14 days. (*Id.*)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

42. Due to the high volume of empty containers stored at the Port of New York at this time, APM Terminal put receiving on pause until the volumes were reduced. (*Id.*)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents.

43. Port congestion persisted into calendar year 2023. (Ikemoto Tr. at 100:2-5, CApp010317.)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from

Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”). There are no contemporaneous emails blaming the pandemic or general congestion for Respondents’ failure to obtain or produce the relevant documents. Further, Respondents’ citation to deposition testimony of their witness lacks any reliability concerning this issue and is purely anecdotal.

E. **TPG Never Clearly Defined which “Supporting Documents” it Required in Order to Pay Respondents for their Services**

44. TPG became dissatisfied with mounting demurrage charges and began to withhold payment of certain invoices until certain additional information or “supporting documents” were provided. (Manzanarez Tr. at 61:21-25, 62:1-6, CApp010225.)

RESPONSE: Denied; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”).)

45. In some cases, even if TPG had all the documentation supporting an invoice, it still would not pay if, for example, a chassis verification was missing. (Manzanarez Tr. at 62:1-6, CApp010225.)

RESPONSE: Denied. This proposed finding is logically flawed. If a chassis verification is missing, then by definition TPG does not have all the documentation supporting an invoice. Further, Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents

TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.)

46. Yet, TPG never provided a checklist or rubric to Respondents, setting forth with any particularity which supporting documents it required. (Basiri Tr. (Sep. 14) 97:20-21, CApp010407.)

RESPONSE: Irrelevant; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) This demonstrates that Respondents had a clear understanding of the documentation required. Moreover, in 2022, internal communications between Respondents’ employees reflect their intent to develop a standard operating procedure, including providing all supporting documentation: “Items will not be approved without.” (Email from Manzanarez to Omni personnel, dated April 5, 2022, CApp010676-77.)

47. Indeed, TPG never clearly defined what “supporting documents” it required and was sometimes inconsistent. (*See e.g.* First Basiri Tr. 87:22-25, CApp010405 (“given that it’s only like a little bit of a screen, I don’t see the whole screen, or tag out from the terminal, tag in when it’s returned . . . it wasn’t enough.”) (supporting documentation not sufficient to TPG when did not provide in-gate and out-gate tickets from the terminal); *cf.* 87:2-5, CApp010405 (“The only document they provided us was the tag out and tag in time that the container was returned back to

the port which is not what I was asking for.”) (in-gate and out-gate tickets are not what TPG was asking for); *see also* 87:12, CApp010405 (“tag in/tag out is not enough for me.”).)

RESPONSE: Denied. Respondents take TPG’s statements out of context. Further, Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.)

48. Instead, Respondents were supposed to know, according to TPG, exactly what [TPG] was looking for” based on “numerous meetings and phone calls.” (*Id.* at 97:21-22, CApp010407.)

RESPONSE: Denied; Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.)

49. What TPG really wanted—rather than simply some unidentified “supporting documents”—was a “story.” (Basiri Tr. (Sep. 14) at 108:11-13, CApp010410 (“I would like to know the **story** and documentation of every case.”; 29:16-17, CApp010390 (“Give me, at least, a **story** of what you do day-to-day, just a **story**.”); 30:23-25, CApp010391 (“Tell me the **story**. Who you’re calling, you know what entity you’re trying to - - what trucking companies have you reached out to.”); 76:13-15, CApp010402 (“For me to feel comfortable with why I’m paying this, I need to understand why you’re – what have you done? What’s the **story**?”); 85:14-16, CApp010404 (“I don’t have enough supportive documents and a **story** or explanation to tell me why these charges

were assessed.”); 86:19, CApp010405 (“Tell me the **story** of what happened.”); 96:15, CApp010407 (“just tell me a **story**.”).

RESPONSE: Denied. Respondents are taking TPG’s statements out of context. This is a layman’s request for documents demonstrating the propriety of the substantial charges under *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969) and *Gruenberg-Reisner v. Overseas Moving Specialists*, Decision on Remand 2017 WL 2241031 at *10 (FMC May 17, 2017). Further, Epic and Omni admitted in contemporaneous emails that they had internally failed to provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating “**These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.**”.) Respondents knew exactly what documentation was needed.

50. The reality is that the “story” in most cases was simply the state of the global shipping industry, of which TPG was well aware. (*See* Section C, *supra*.)

RESPONSE: Not a factual allegation, therefore no response required. To the extent a response is required, Respondent’s Proposed Finding of Fact No. 50 is denied.

F. Respondents Provided TPG with The Documentation they Received from Third Parties as Soon as they could Practically do so

51. For every invoice that contained a demurrage charge from a port or terminal, which Respondents paid on TPG’s behalf, Respondents provided TPG the receipt reflecting proof of payment of the charge. (Ikemoto Tr. at 73:6-10, CApp010307.)

RESPONSE: Denied that the cited text supports the proposed finding of fact. The cited testimony states, in responding to the question “What else is necessary to establish ... all the items

in the [Epic/Omni] invoice [to TPG]?", Ikemoto responds "...the last piece is then a mandatory one. It's only if we got port or terminal demurrage or detention that we would provide a back-up receipt..." (Ikemoto Dep. at 73:6-10, CApp010307.) Ikemoto acknowledges that it is mandatory to provide the backup receipt. In the above Proposed Finding of Fact, Respondents now specify that they only provided to TPG the proof of payment, not the invoice showing was the payment was for, which is what is needed to demonstrate the propriety of "substantial charges."

52. Respondents did not receive demurrage invoices from marine terminals or ports. (*Id.* at 132:19-25, 133:1-7, CApp010322.)

RESPONSE: Denied: (1) This Proposed Finding of Fact directly conflicts with Proposed Finding of Fact No. 51, which states "For every invoice that contained a demurrage charge from a port or terminal, which Respondents paid on TPG's behalf," demonstrates that invoices of some kind existed. (2) The cited testimony does not reflect that Respondents received no invoices for demurrage, it instead states that "you just go on the website, and then you have to submit payment through the pay through date." Essentially, Ikemoto admits that in order to know how much to pay for demurrage, Respondents had to go onto a website to see and pay the demurrage charges. Thus, **Respondents admit to having had access to the demurrage charge specifics but not conveying the details of the charges to Complainant.** (3) Further, Epic and Omni admitted in contemporaneous emails that they had internally failed to obtain and provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating **"These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue."**) Mr. Manzanarez further stated: "Historically, we have had a great partnership with Thompson Pipe. **They require several pieces**

of documentation upon delivery. This is needed for audit purposes. Unfortunately, we [our team] has not managed this process well this past year.” (Email from Manzanarez to Shuo, dated January 6, 2022, CApp010588.) (Brackets in original.) It is difficult to believe that Respondents’ new failure to provide invoices from marine terminals or ports was because terminals and ports suddenly stopped issuing invoices or providing them upon request.

53. Accordingly, the receipts Respondents provided to TPG for demurrage were “more of a payment confirmation” than an invoice, but this proof of payment was nevertheless provided to TPG. (*Id.* at 132:14-17, CApp010322.)

RESPONSE: Admitted.

54. Respondents were required to remit payments for demurrage online via credit card. (*Id.* at 71:5-10, CApp010307; 120:17-21, CApp010319.)

RESPONSE: Admitted.

55. TPG received, along with an invoice containing a charge for demurrage, receipts—sometimes in the form of screenshots—demonstrating the amount Respondents paid on TPG’s behalf. (Basiri Tr. (Sep. 14) at 62:12-13, CApp010399 (“I have snapshots, screenshots, of what appears to be payment for the amount they are charging us.”); 63:5-7, CApp010399 (“the only thing in explanation of why they charge us is screenshots of what appears to be payments processed for the – for the value that they’re charge us.”); 63:14-17, CApp010399 (TPG received “screenshots of what appears to be payments processed for the amount that they charged us.”); 78:14-15, CApp010403 (TPG received “a screenshot of what appears to be payment.”); 78:20-22,

CApp010403 (“what I have is screenshots of payments, what appears to be the payment that was processed.”).

RESPONSE: Admitted that Respondents provided TPG with screenshots showing that Respondents had paid charges and nothing more. Note that **Respondents admit to having had access to the demurrage charge specifics on a website but not conveying the details of the charges to Complainant.** (Ikemoto Dep. 132:19-25, 133:1-7, CApp010322.)

56. Respondents provided in-gate and out-gate tickets reflecting when a container was pulled from the terminal and when the empty container was returned, which enabled TPG to confirm the daily chassis and storage fees. (Ikemoto Tr. at 69:20-25, CApp010306.)

RESPONSE: Denied; the Shipping Chart (CApp011020) demonstrates that 485 invoices that had chassis charges did not have in-gate and out-gate tickets, or the tickets provided had an incorrect container number, did not have a container number at all, or had no invoice number. Of those with storage charges (238), 106 either had no in-gate and out-gate tickets, or the tickets provided had an incorrect container number, did not have a container number at all, or had no invoice number.

57. Respondents provided TPG with proofs of delivery, which “confirm that the actual freight was delivered and signed off by [TPG’s customers’] jobsite.” *Id.* To the extent Respondents were unable to provide documents, it was because TPG was requesting “the documentation that [Respondents] were unable to receive from [their] partners[.]” (Manzanarez Tr. at 97:15-20 (CApp010233).)

RESPONSE: The first sentence is admitted. The second sentence is denied; **Respondents admit to having had access to the demurrage charge specifics on a website but not conveying the details of the charges to Complainant.** (Ikemoto Dep. 132:19-25, 133:1-7, CApp010322.)

58. In addition to Respondents’ frequent communications about the state of the shipping industry amid the COVID-19 pandemic and its effect on those in the supply chain, Respondents made reasonable efforts to communicate in advance to TPG about specific containers for which additional charges would accrue. (Heaton Tr. at 72:7-25 (RApp22) (Epic’s representative “[a]dvised[d] both customer and myself about the free time. And then in this email thread . . . he sidebars the potential fees to me.”).)

RESPONSE: Denied; there is no page 72 at RApp22. The referenced text appears on Rapp25, and refers to Exhibit 31 of Mr. Heaton’s deposition, which appears from the testimony to be an email from August 19, 2021. It does not appear that this Exhibit 31 was provided in Respondents’ Joint Appendix, so it is impossible to know if this is among the containers that form part of TPG’s claim in this action.

G. Many of TPG’s Containers were Shipped from a Foreign Country to the Port of Halifax, Nova Scotia, Canada, and Subsequently Entered the United States via Rail

59. In or around the spring of 2021, TPG retained Epic to arrange for the transportation of TPG’s products from Columbia to various final destinations in the United States in connection with TPG’s “Bay Park” project. The Bay Park project included “as much as 1,700 container[s].” (Basiri Tr. (Sep. 14) at 102:16-17, CApp010409.)

RESPONSE: Admitted. TPG has withdrawn any claims for the containers from Canada.

60. Roughly half of the containers for the Bay Park project shipped to TPG's facility in South Beloit, Illinois. (Heaton Tr. at 100:1-6 RApp32).)

RESPONSE: Denied. TPG did not include any claims for containers arriving in Canada in its damages model.

61. The containers that were shipped to TPG's South Beloit facility first arrived from Colombia at a port in Halifax, Nova Scotia, Canada. (Basiri Tr. (Sep. 14) at 102:20-24, CApp010409, 106:1-8, CApp010410; Basiri Tr. (Sep. 14) Ex. 72 (RApp352).)

RESPONSE: TPG did not include any claims for containers arriving in Canada in its damages model.

62. From Halifax, these containers entered the United States via rail through Chicago and were then drayed to TPG's South Beloit facility. (Heaton Tr. at 81:21-23 (RApp27).) Shipping documents, including bills of lading and arrival notices, demonstrate that the containers identified in rows 132-161 of TPG's Shipment Chart were discharged at the Port of Halifax and subsequently transported to Chicago via rail. (*See generally* CApp Vol. II, including, but not limited to, CApp002902-04; CApp002998; CApp003008-09; CApp00318; CApp003025; CApp003032; CApp00304; CApp003049; CApp003058; CApp00365; CApp00372; CApp003077; RApp96-RApp130; RApp343-46.)

RESPONSE: Admitted. TPG did not include any claims for containers arriving in Canada in its damages model.

63. TPG seeks in damages approximately \$112,200 in demurrage that was assessed in connection with the containers that arrived in the United States by rail via Halifax. (CApp011020 (“Shipment Chart”) at rows 132-161.)

RESPONSE: TPG did not include any claims for containers arriving in Canada in its damages model.

64. TPG also seeks in damages approximately \$3,780 in chassis charges that were assessed in connection with the containers that arrived in the United States by rail via Halifax. (*Id.*)

RESPONSE: TPG did not include any claims for containers arriving in Canada in its damages model.

H. TPG’s Customers’ Refusal to Timely Accept Containers and TPG’s Own Inaction Caused Additional Charges to Accrue

65. Some of the additional charges TPG incurred resulted from TPG’s informed decision not to accept delivery of containers when they were available, or to not immediately unpack containers when they were delivered. (*See* FMC_C00019963 (Email from TPG employee stating: “[w]e will likely not immediately unpack these containers on site, can someone tell us what the charge per week/month is if we need to keep for a few weeks?”); EPIC_0059551 (email from Alex Heaton to Respondents’ representative regarding TPG’s customer’s complaint in which Heaton says “disagree with [customer’s] behavior this morning. Utter bullcrap that they don’t have fair warning of delivery schedule well in advance” where customer suggested that it could not accept containers on “short notice.”)

RESPONSE: FMC_C00019963 is Rapp347 and appears to be for the N01 Bay Park/S. Beloit shipment. Although the specific container is not identifiable based on the document provided here,

TPG has withdrawn all South Beloit containers from its claim. TPG did not include any claims for containers arriving in Canada in its damages model.

EPIC_0059551 is RApp273. Pursuant to the rest of the email, located at Rapp275-76, the issue concerns 10 containers for the N01 Bay Park project that went through South Beloit: TGHU6332761, SEGU4425091, SEGU6189441, TGBU9314306, TEMU7620550, CMAU6459012, TLLU7774582, TCNU1568393, CAIU8833520, CAIU7116458. TPG has withdrawn these containers from its claim. TPG did not include any claims for containers arriving in Canada in its damages model.

66. Some of the additional charges TPG incurred resulted from TPG's customers' refusal or inability to accept containers when they were available. (Heaton Tr. at 80:10-17 (RApp27; EPIC_0059551 (RApp273) (email from Alex Heaton to Respondents' representative regarding TPG's customer's complaint in which Heaton says "disagree with [customer's] behavior this morning. Utter bullcrap that they don't have fair warning of delivery schedule well in advance" where customer suggested that it could not accept containers on "short notice."))

RESPONSE: Pursuant to the rest of the email, located at Rapp275-76, the issue concerns 10 containers for the N01 Bay Park project that went through South Beloit: TGHU6332761, SEGU4425091, SEGU6189441, TGBU9314306, TEMU7620550, CMAU6459012, TLLU7774582, TCNU1568393, CAIU8833520, CAIU7116458. TPG has withdrawn these containers from its claim. TPG did not include any claims for containers arriving in Canada in its damages model.

67. In one notable instance, TPG’s customer—on a project referred to by the parties as the “Ship Canal” project—refused to accept delivery of five (5) containers for a period of over five (5) months after they first became available. (EPIC_0033418 (RApp234).)

RESPONSE: TPG has withdrawn these containers from its claim.

68. The Ship Canal containers arrived at the Port of Seattle on or around October 17, 2021. (EPIC_0018445 (RApp144); EPIC_0018457 (RApp156).)

RESPONSE: TPG has withdrawn these containers from its claim.

69. On November 2, 2021, Mr. Heaton received a “Last Free Day Notice” for the five Ship Canal containers from Yang Ming Transport Corporation. (FMC_C00009289; FMC_C000009290 (RApp280-85).)

RESPONSE: TPG has withdrawn these containers from its claim.

70. On November 3, 2021, TPG’s customer on the Ship Canal project advised Mr. Ikemoto and Mr. Heaton: “Please hold delivery [of the five containers] till further instructions since the [construction] sites are congested.” (EPIC_0049371 (RApp269).)

RESPONSE: TPG has withdrawn these containers from its claim.

71. In response to that email, Mr. Ikemoto advised that Epic would “proceed to pull these from the terminal to stop demurrage, we will wait for your instruction to proceed with delivery.” (RApp268.)

RESPONSE: TPG has withdrawn these containers from its claim.

72. Mr. Heaton asked Mr. Ikemoto, on November 3, 2021, “at what point to (sic) holding fees [for the Ship Canal containers] kick in?” (RApp267.)

RESPONSE: TPG has withdrawn these containers from its claim.

73. Mr. Ikemoto confirmed that “[s]torage and chassis fees kick in immediately,” and asked TPG’s customer to “let me know as soon as you can confirm to prevent as much charges as possible.” (RApp266.)

RESPONSE: TPG has withdrawn these containers from its claim.

74. TPG’s customer, however, requested a “grace period,” stating that “[we] shall advise you when we shall accept at site but would require a grace period.” (*Id.*)

RESPONSE: TPG has withdrawn these containers from its claim.

75. On November 9, 2021, Mr. Ikemoto reached out to TPG’s customer via email to ask when it would be able to accept delivery and informed the customer that “we have all the containers pulled and being stored in our yard.” (RApp265.)

RESPONSE: TPG has withdrawn these containers from its claim.

76. On November 10, 2021, TPG’s customer wrote:

“With regards to the pipes which was scheduled to be delivered within this time of year. As you know, we are not ready to accept these pipes at the site since the work is on hold. As per my understanding, there is a discussion with M/s Thompson Pipes management to store these pipes in their facility/ yard till the work resume and we are ready to use the same. Please discuss with the freight company to avoid any storage charges, which will be charged to M/s Thompson Pipes.”(RApp264.)

RESPONSE: TPG has withdrawn these containers from its claim.

77. On November 16, 2021, Mr. Heaton responded to TPG's customer's November 10 email to ask for a solution and reminded his customer that "storage/container fees are quickly accumulating." (*Id.*)

RESPONSE: TPG has withdrawn these containers from its claim.

78. Ultimately, TPG was not able to achieve a solution in the short term with its customer for the delivery of the Ship Canal containers.

RESPONSE: TPG has withdrawn these containers from its claim.

79. On November 23, 2021, Mr. Ikemoto advised TPG that the approximate daily cost of detention was \$300 per each of the five containers, the approximate daily cost of yard storage was \$95 per each container, and the approximate daily cost of chassis was \$45 per each chassis. (RApp160.)

RESPONSE: TPG has withdrawn these containers from its claim.

80. As Mr. Heaton explained in a January 5, 2022 email to Respondents' representative, "[TPG's] customer is holding us hostage, so to speak, until we can actually buy the containers and leave them on their jobsite[.]" (RApp193.)

RESPONSE: TPG has withdrawn these containers from its claim.

81. Respondents worked with TPG to try to provide solutions to avoid the mounting accrual of storage, detention, and chassis charges. (RApp183, RApp195.)

RESPONSE: TPG has withdrawn these containers from its claim.

82. TPG could not persuade its customer to take the containers sooner than it did, and TPG rejected several solutions Respondents proposed, including transloading the cargo into other containers. (RApp197-205.)

RESPONSE: TPG has withdrawn these containers from its claim.

83. TPG's customer finally accepted delivery of the Ship Canal containers on or about April 13, 2022, 163 days after the containers were available for delivery. (RApp234.)

RESPONSE: TPG has withdrawn these containers from its claim.

84. While substantial storage and chassis charges for these containers naturally accrued given the five-month plus period that the containers were outside of the port, Respondents successfully negotiated with the owner of the containers to waive \$232,500 in detention charges. (*Id.*)

RESPONSE: TPG has withdrawn these containers from its claim.

85. Mr. Basiri, as TPG's corporate representative, concede that he "was happy with what [Respondents] did [getting the detention charges eliminated], and this was an issue that we had on our jobsite. It had nothing to do with Epic or Omni." (First Basiri Tr. at 93:18-20, CApp010406.)

RESPONSE: TPG has withdrawn these containers from its claim.

86. Similarly, Mr. Heaton, in reference to the Ship Canal containers, conceded that "[Respondents] are not responsible for customer rejection or customer failure to unload." (Heaton Tr. at 99:1-15 (RApp32).)

RESPONSE: TPG has withdrawn these containers from its claim.

87. Despite its admission that Respondents had nothing to do with these detention charges, TPG seeks to recover \$77,045 from Respondents for storage charges assessed in connection with the Ship Canal containers. (TPG’s Damages Chart, CApp011019 (“Damages Chart”), at Storage Claims, rows 66-70.)

RESPONSE: Denied; TPG has withdrawn these containers from its claim.

88. TPG also seeks to recover \$36,495 from Respondents for chassis charges assessed in connection with the Ship Canal containers. (*Id.* at Chassis Claims, rows 329-333.)

RESPONSE: Denied; TPG has withdrawn these containers from its claim.

I. TPG Agreed to Pay a 5% Administrative Fee for all Pass-Through Charges Beginning in January 2022

89. As the shipping industry continued to suffer from historic levels of delays, congestion, and resulting demurrage continuing into early 2022, Respondents began to require a 5% administrative fee on all pass-through charges it paid on behalf of TPG. (EPIC_0044271 (RApp261).)

RESPONSE: Denied; the cited reference establishes that Omni unilaterally imposed an administrative fee that had not been agreed to because it wanted more profit that it did not have to document. (RApp261-62, stating “... **these fees, we do not have to provide backup for. we [sic] can just say the insurance cost with Omni has gone up. Handling is a pure profit fee...**”)

90. Respondents imposed this administrative fee because they were being financially strained by advancing large sums of money on TPG’s behalf, and TPG was withholding payment well beyond the parties agreed upon payment terms. (*See, e.g.*, EPIC_0039853 (RApp258); Manzanarez Declaration at ¶ 14 (RApp2).)

RESPONSE: Denied. The cited reference does not address the reason Respondents imposed a unilateral administrative fee. It discusses why Respondents informed TPG that “No additional freight for TPG will be delivered until Omni receives the \$1.7 Million” (Email from Bill Heathcock at Omni to Beza Basiri at TPG, dated May 17, 2022, RApp260.) Note that although Omni’s initial email demands payment of \$1.7M (RApp260), Omni’s later email in the same chain states that TPG’s disputed accounts receivable is much less: \$1,068,707. (RApp258.)

The record unequivocally shows that Omni unilaterally imposed an administrative fee that had not been agreed to because it wanted more profit that it did not have to document, as evidenced by Omni’s internal email exchanges of January 26, 2022. (RApp261-62, stating “... these fees, we do not have to provide backup for. we [sic] can just say the insurance cost with Omni has gone up. Handling is a pure profit fee...”)

91. For example, by mid-May 2022, TPG’s outstanding accounts receivable balance had grown to \$1,058,707. (RApp258.)

RESPONSE: Denied; TPG disputed the charges because Respondents had not provided proof of the propriety of the substantial charges. (Email from Basiri to Manzanarez, dated May 13, 2022, CApp010710-12.)

92. Although the parties subsequently had some dispute about the scope of the administrative fee, TPG was aware of and agreed to pay the administrative fee. (*See* EPIC_0030667 (RApp225) (March 15, 2022, email from Mr. Basiri to Mr. Manzanarez: “You and I discussed starting to add 5% admin fee for pass through charges.”); Manzanarez Declaration at ¶ 16 (RApp3).)

RESPONSE: Denied. The statement in the email only reflects that the fee was discussed, not that TPG accepted it. The second referenced citation is a self-serving declaration. There is no contemporaneous documentation showing TPG agreed to this fee because it did not agree to it. (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

93. TPG never objected to the administrative fee as applied to demurrage charges. (Manzanarez Declaration at ¶ 16 (RApp3).)

RESPONSE: Denied; the referenced citation is a self-serving declaration. There is no contemporaneous documentation showing TPG agreed to this fee because it did not agree to it. (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

94. Respondents' confirmed their practice of imposing a 5% administrative fee on pass-through charges to TPG many times. (EPIC_0024069 RApp175; EPIC_0024538 (RApp177).)

RESPONSE: Denied; the documents referenced only reflect that Omni unilaterally imposed the fee, not that TPG agreed to this change in the agreement with Omni.

95. Respondents did not profit from their institution of the 5% administrative fee. (Ikemoto Tr. at 153:11-16, CApp010327; Manzanarez Declaration at ¶¶ 13-14 (RApp2).)

RESPONSE: Denied; contemporaneous Omni internal emails unequivocally show that the administrative fee was intended to be a profit center that Omni did not have to explain to TPG. (RApp261-62, stating "... **these fees, we do not have to provide backup for. we [sic] can just say the insurance cost with Omni has gone up. Handling is a pure profit fee...**")

96. Respondents were also required to pay ocean carriers and terminals—using programs such as PayCargo or CargoSprint—via credit card. (EPIC_0024069 (RApp175); Ikemoto Tr. at 71:5-10, CApp010307.)

RESPONSE: Admitted.

97. Carriers and terminals imposed a 3% credit card processing fee in order to remit payment and secure release of cargo, over which Respondents had no control. (CApp010307.)

RESPONSE: Denied. Respondents' cited documentation does not justify this proposed finding of fact. The cited material only suggests that there was a credit card processing fee of "a few percent." (CApp010307.) Ikemoto's transcript indicated that it was "three percent, just gets washed away in -- in credit card fees, too." (CApp010327.) Particularly in light of the problems with Respondents' Proposed Finding of Fact Number 95, there is real doubt over whether there was a three-percent processing fee that was being passed through to Complainant or if Respondents used the pretext of a three-percent processing fee to impose a five-percent administrative fee, thus padding their profits.

J. TPG Owes Respondents \$390,000 for Freight Charges and Other Pass-Through Charges

98. TPG has refused to pay legitimate invoices including charges not only for demurrage, but also for the cost of freight and other pass-through charges. (Manzanarez Declaration at ¶ 22 (RApp3).)

RESPONSE: Denied; the cited declaration is a self-serving document. TPG has provided a precise calculation of the charges it disputes.

99. TPG presently owes Respondents \$390,336.80. (*Id.* at ¶ 21 (RApp3).)

RESPONSE: Denied; the cited declaration is a self-serving document. TPG disputes the propriety of the charges.

Dated: April 9, 2024

Respectfully submitted,

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